

Economic Theory: Macroeconomics

Introduction

Topics of today's class

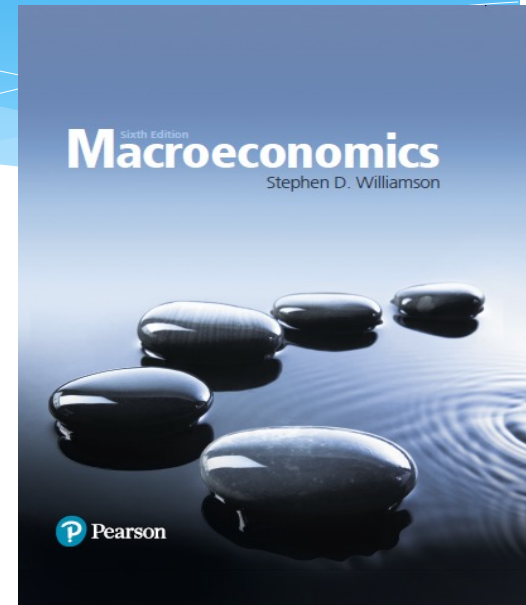
- Course Presentation
- Chapter 1
 - Introduction to Macroeconomics
 - Recent and Current macroeconomic Events

Who am I?

- A macroeconomist studies public policy and economic theory;
- Taught at U of Illinois, U of Zurich, Purdue;
- Conduct researches at Congressional Budget Office, Federal Reserve Bank;
- Published at top economics journals;
- Contributor to FOX 42 KPTM, KETV, Omaha World Herald;
- ECON CLUB Advisor.

Course Presentation

- Course website: canvas
- The choice of textbook
- Homework, exams and grades
- Office hours, course materials and additional readings
 - The Economist, WSJ, NY Times, etc



Gross Domestic Product, Economic Growth, and Business Cycles

- Gross Domestic Product (GDP): the quantity of goods and services produced within a country's borders over a particular period of time.
- The time series of GDP can be separated into *trend* and *business cycle* components.

Figure 1.1

Per Capita Real GDP (in 2009 dollars) for the United States, 1900–2020

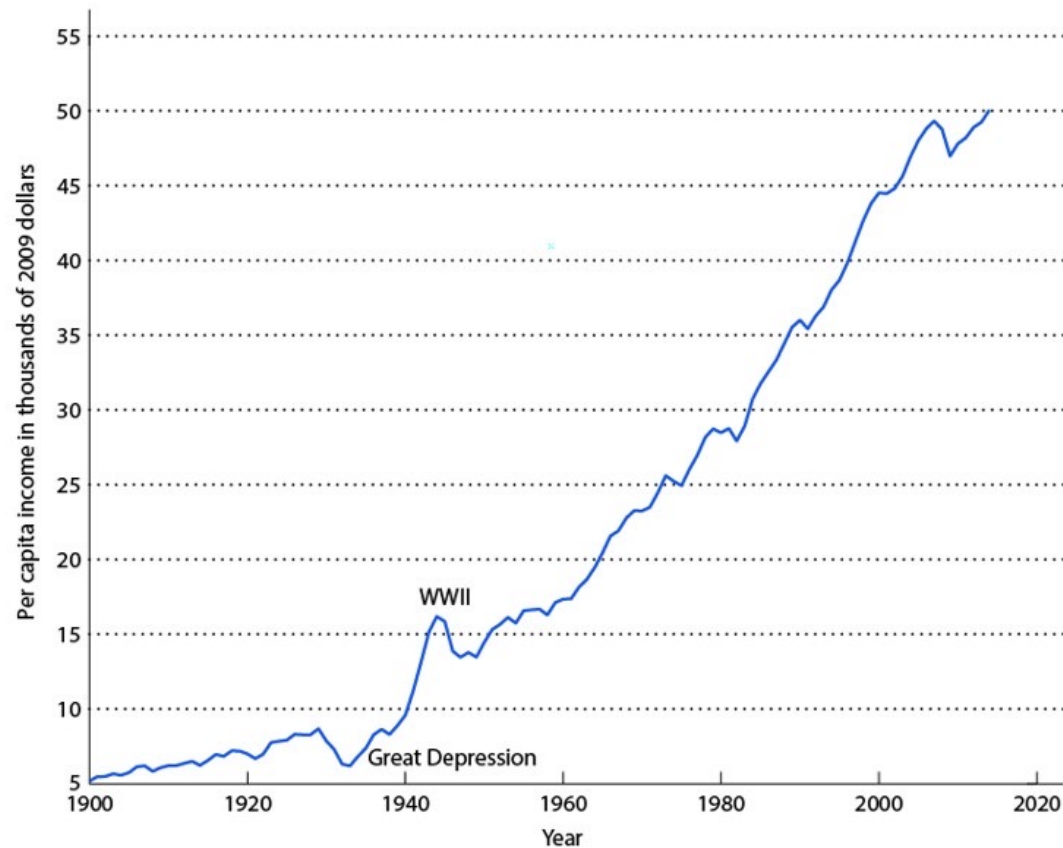


Figure 1.2

Natural Logarithm of Per Capita Real GDP

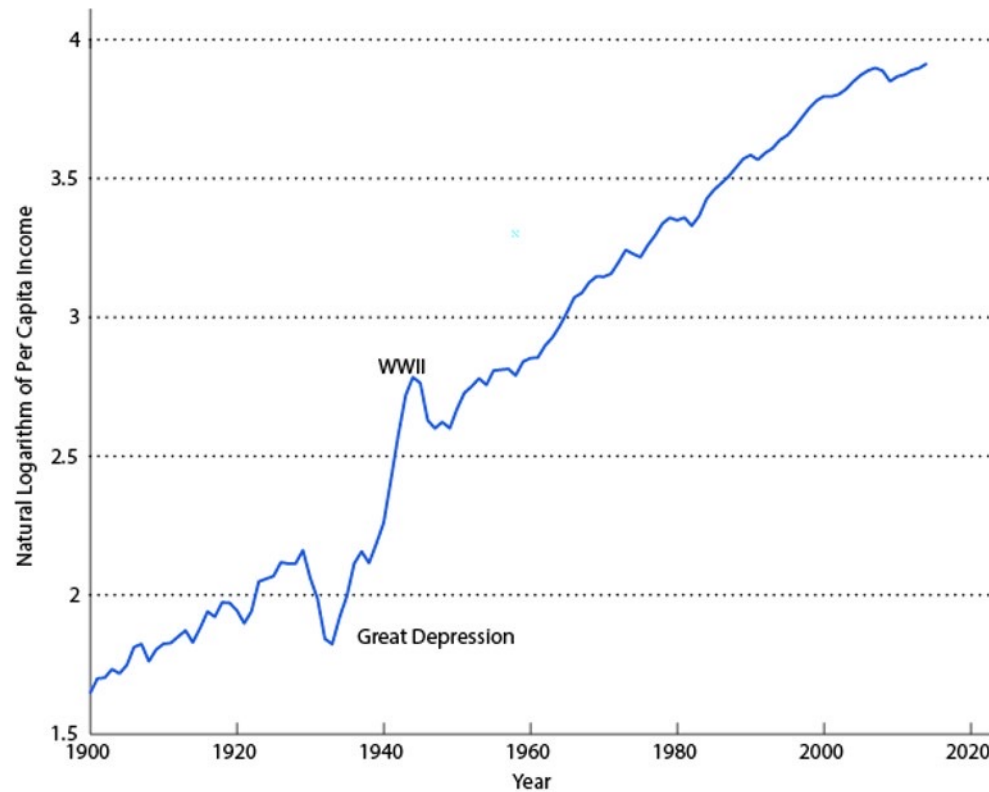


Figure 1.3

Natural Logarithm of Per Capita Real GDP and Trend

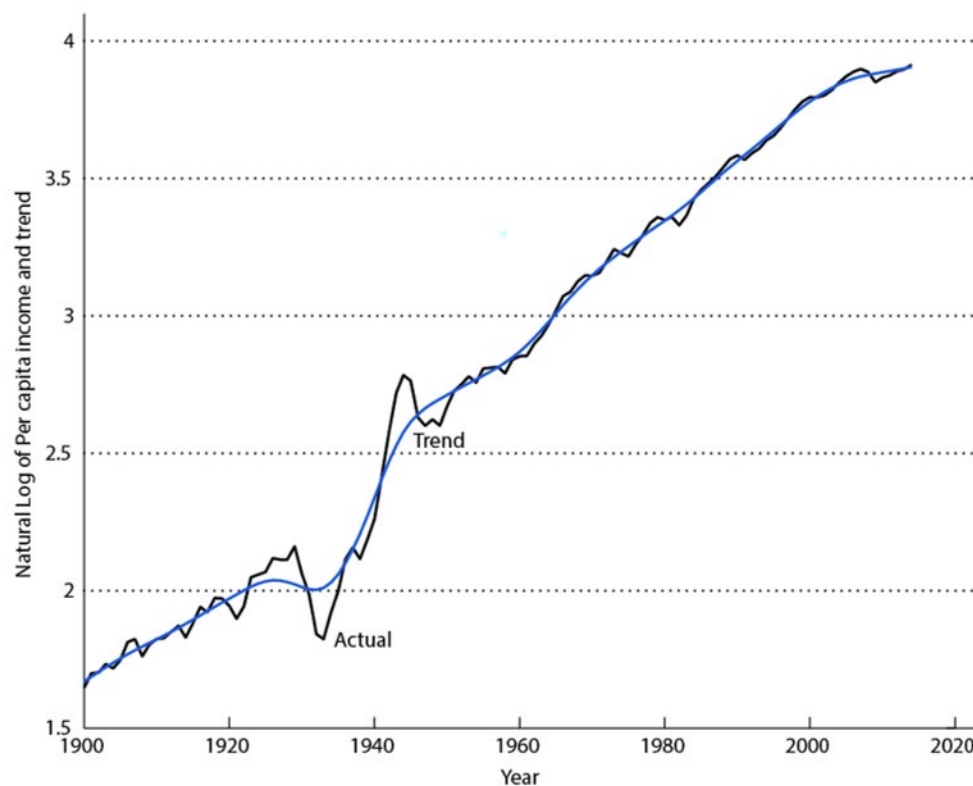
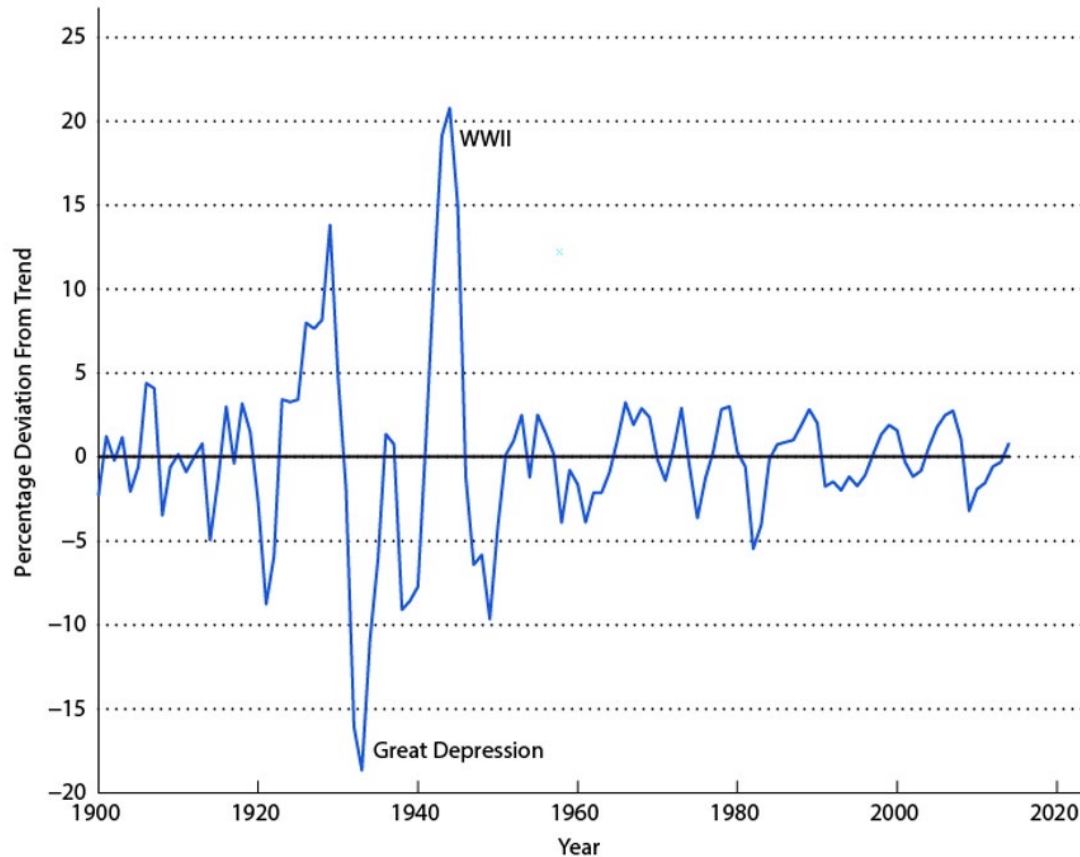


Figure 1.4

Percentage Deviations from Trend in Per Capita Real GDP



What is Macroeconomics?

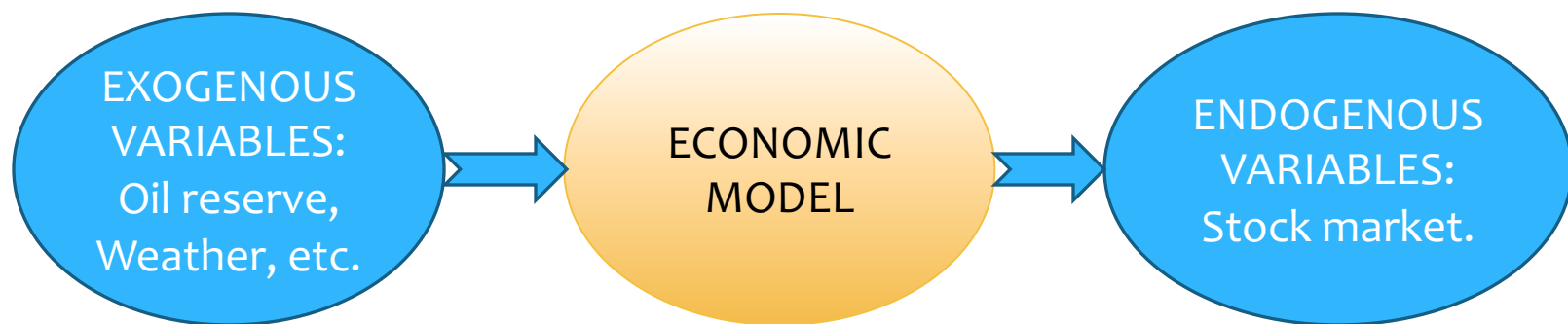
- Models built to explain macroeconomic phenomena.
- Examples of issues:
 - Why are so many countries poor?
 - Why are millions of people unemployed?
 - What makes people unequal in income and wealth?
 - Why are there recession? Can the government do anything to combat recession? Should it?
- To summarize: *long-run growth* and *business cycles*.
- Our approach is to build up macroeconomic analysis from microeconomic principles.

How Does Macroeconomics Work?

- Build (*simple*) model to match key facts
- Include relevant Agents
 - *Consumers*
 - *Firms*
- Agents make decisions based on an objective function and resource constraints

How Does Macroeconomics Work?

- An economic model allows us to use exogenous variables to explain endogenous variables.
 - *Endogenous variables* are ones we want to explain.
 - *Exogenous variables* are ones that are fixed and have some influence on the endogenous variable that we want to explain.



History of Thought

- 1776 (Smith – Wealth of Nation) to 1920s
 - Classical economics
 - Prices adjust to clear markets (supply=demand)
- 1920s to 1970s
 - Keynesian economics
 - Prices adjust slowly
- Now: Neo-classical vs New-Keynesian
 - Both use Quantitative Models
 - Micro-founded reasons for price frictions

List of Topics

1. Measurement
 - Measuring GDP and Prices
2. A Simple Macroeconomic Model
 - Work-Leisure Decision, Impact of Taxes on Work Decision
3. Economic Growth
 - What are the sources of Income differences across countries?
Can growth be sustained?
4. Consumption and Savings
 - Life Cycle Decisions, Fiscal Policy & Ricardian Equivalence,
Credit Market Imperfections & Financial Crisis, Social Security
5. Business Cycles
 - Stylized Facts, Monetary Policy, Fiscal Policy
6. Unemployment and Labor Market

What Do We Learn From Macroeconomic Analysis?

Part I

- What is produced and consumed in the economy is determined jointly by the economy's productive capacity and the preferences of consumers.
- In free market economies, strong forces tend to produce socially efficient economic outcomes.
- Unemployment is painful for individuals, but it is a necessary evil in modern economies.
- Improvements in a country's standard of living are brought about in the long run by technological progress.

What Do We Learn From Macroeconomic Analysis?

Part II

- A tax cut is not a free lunch.
- Credit markets, banks play key roles in the macroeconomy.
- What consumers and firms anticipate for the future has an important bearing on current macroeconomic events.

What Do We Learn From Macroeconomic Analysis?

Part III

- Money takes many forms, and society is much better off with it than without it. Once we have it, however, changing its quantity ultimately does not matter.
- Business cycles are similar, but they can have many causes.

What Do We Learn From Macroeconomic Analysis?

Part IV

- Countries gain from trading goods and assets with each other, but trade is also a source of shocks to the domestic economy.
- In the long run, inflation is caused by growth in the money supply.
- If there is a short-run tradeoff between output and inflation, that has very different implications relative to the relationship between nominal interest rates and inflation.

Understanding Recent and Current Macroeconomics Events

- Aggregate Productivity
- Unemployment and Vacancies
- Taxes, Government Spending, and the Government Deficit
- Inflation
- Interest Rates
- Business Cycles in the United States
- Credit Markets and the Financial Crisis
- The Current Account Surplus

Figure 1.5

Natural Logarithm of Average Labor Productivity

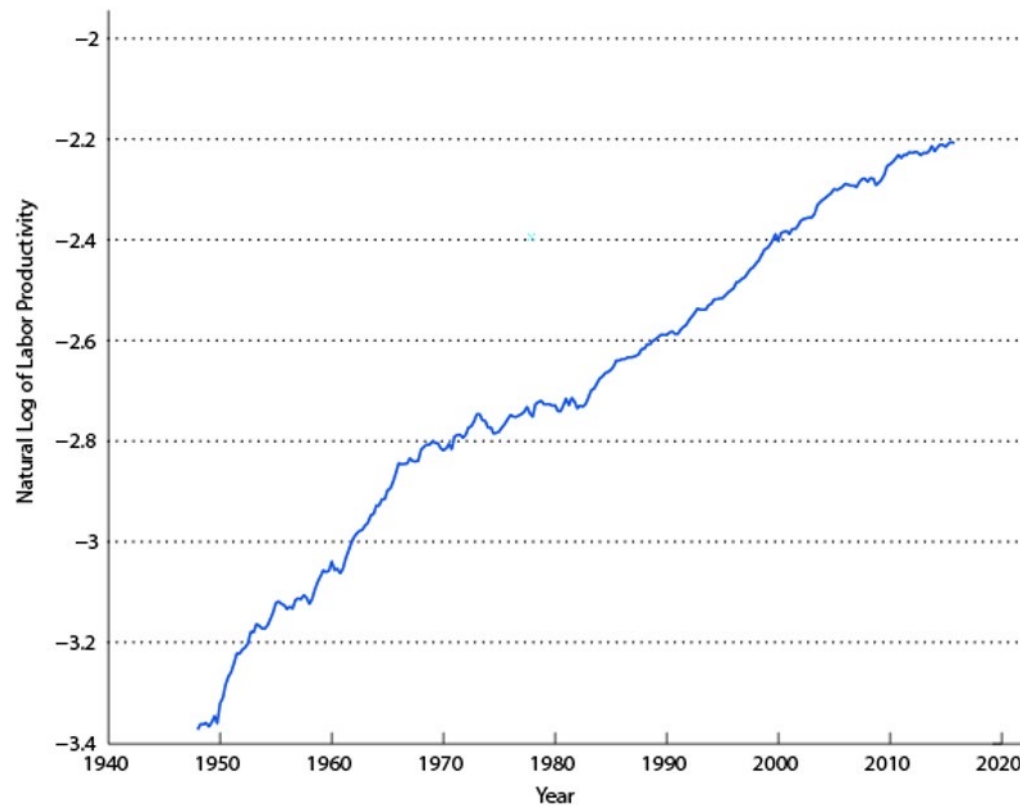


Figure 1.6

The Unemployment Rate for the United States

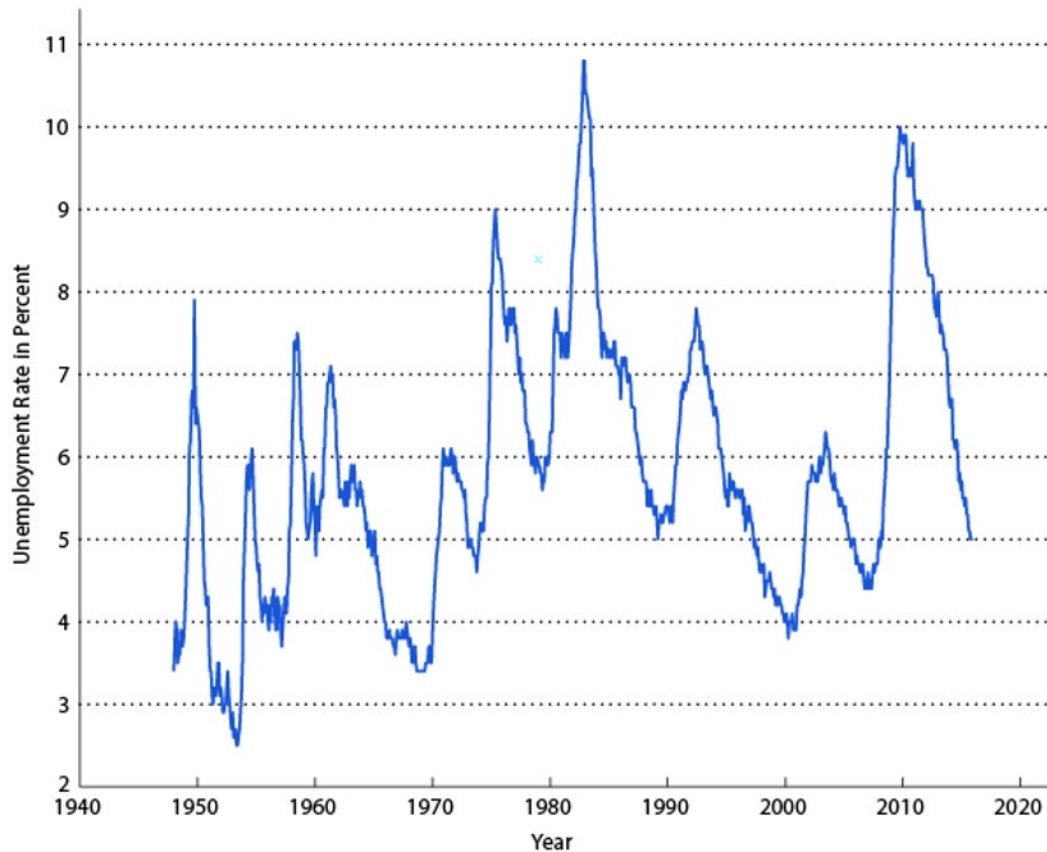


Figure 1.7

The Beveridge Curve

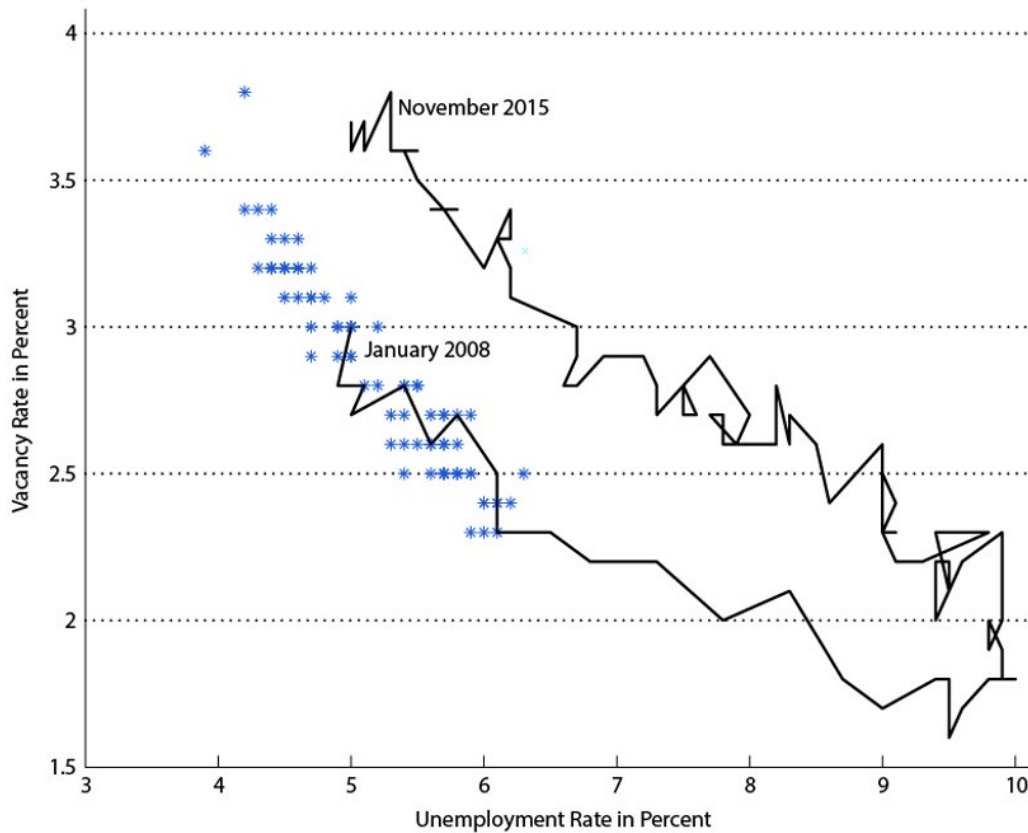


Figure 1.8

Total Taxes and Total Government Spending

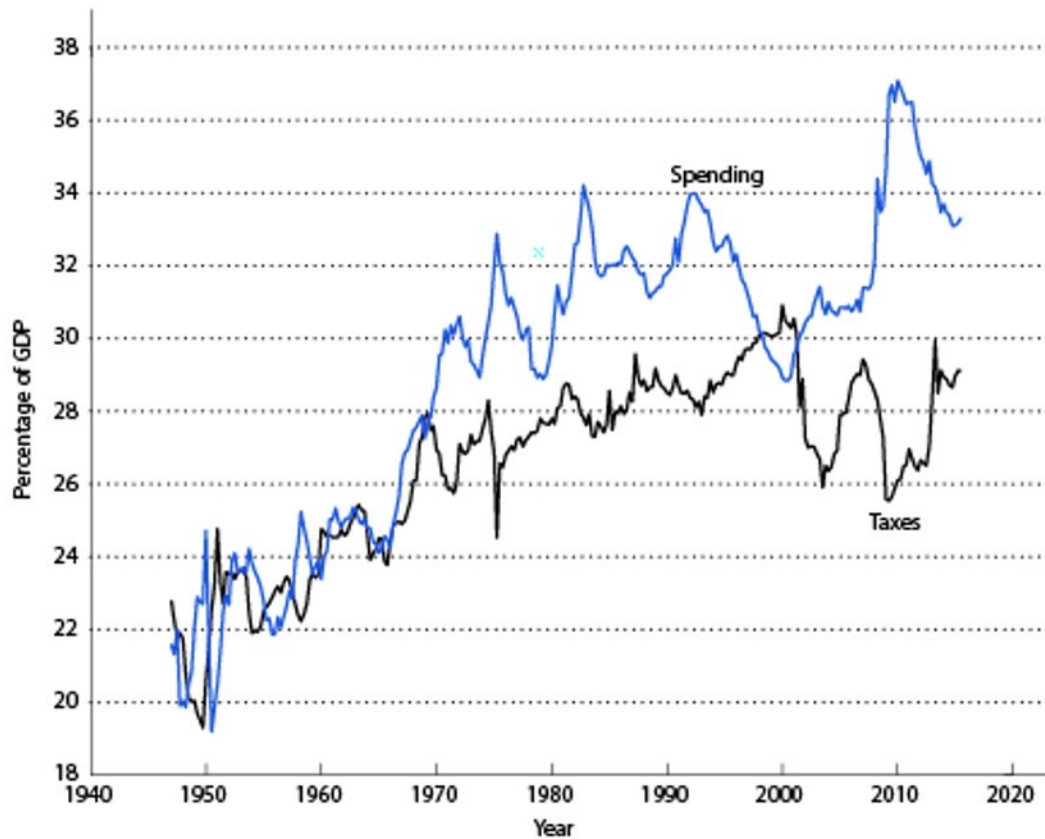


Figure 1.9

Total Government Surplus

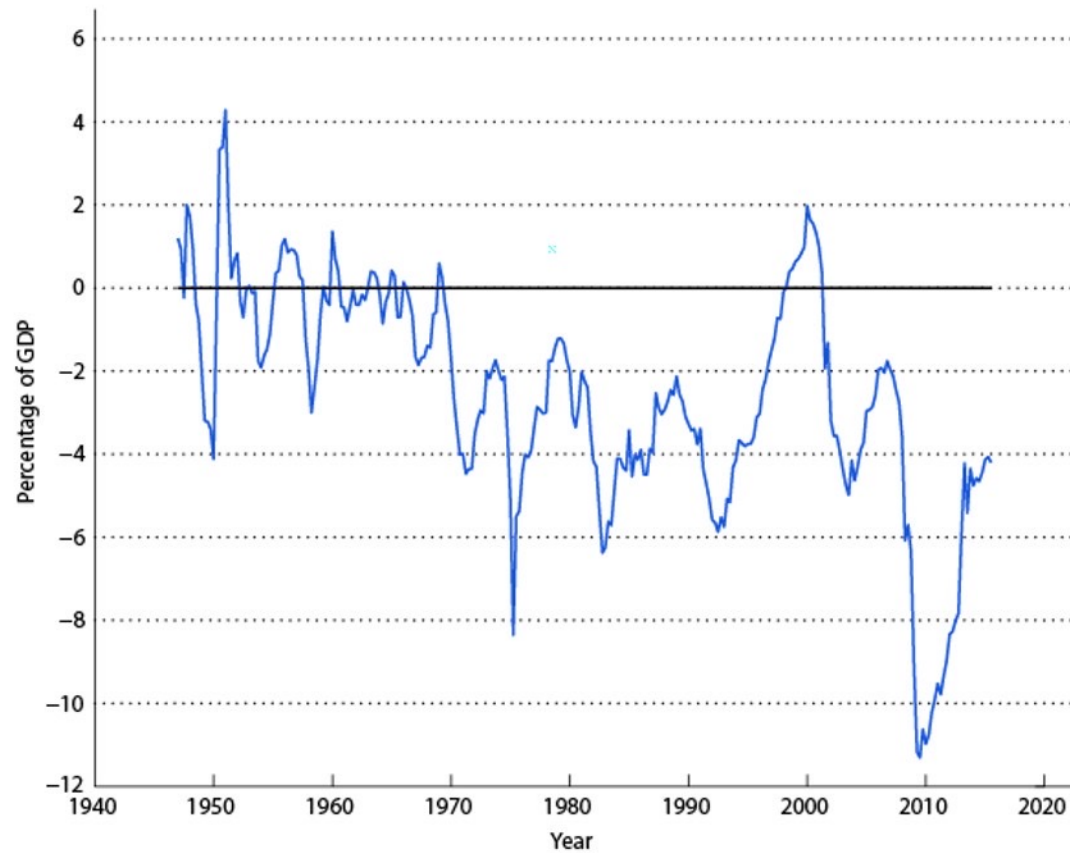
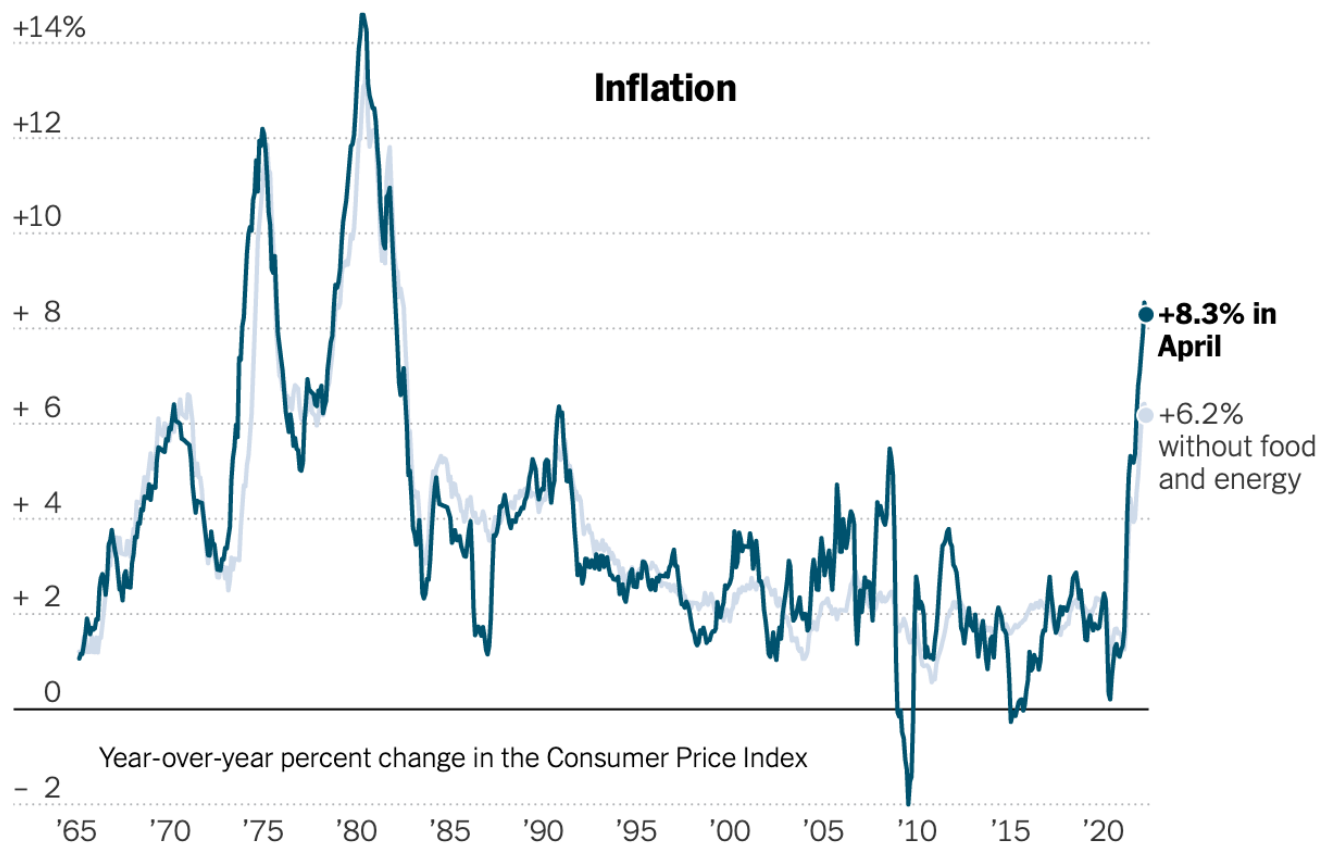


Figure 1.10

The Inflation Rate



Source: Bureau of Labor Statistics • By Ella Koeze

Figure 1.11

The Nominal Interest Rate and the Inflation Rate

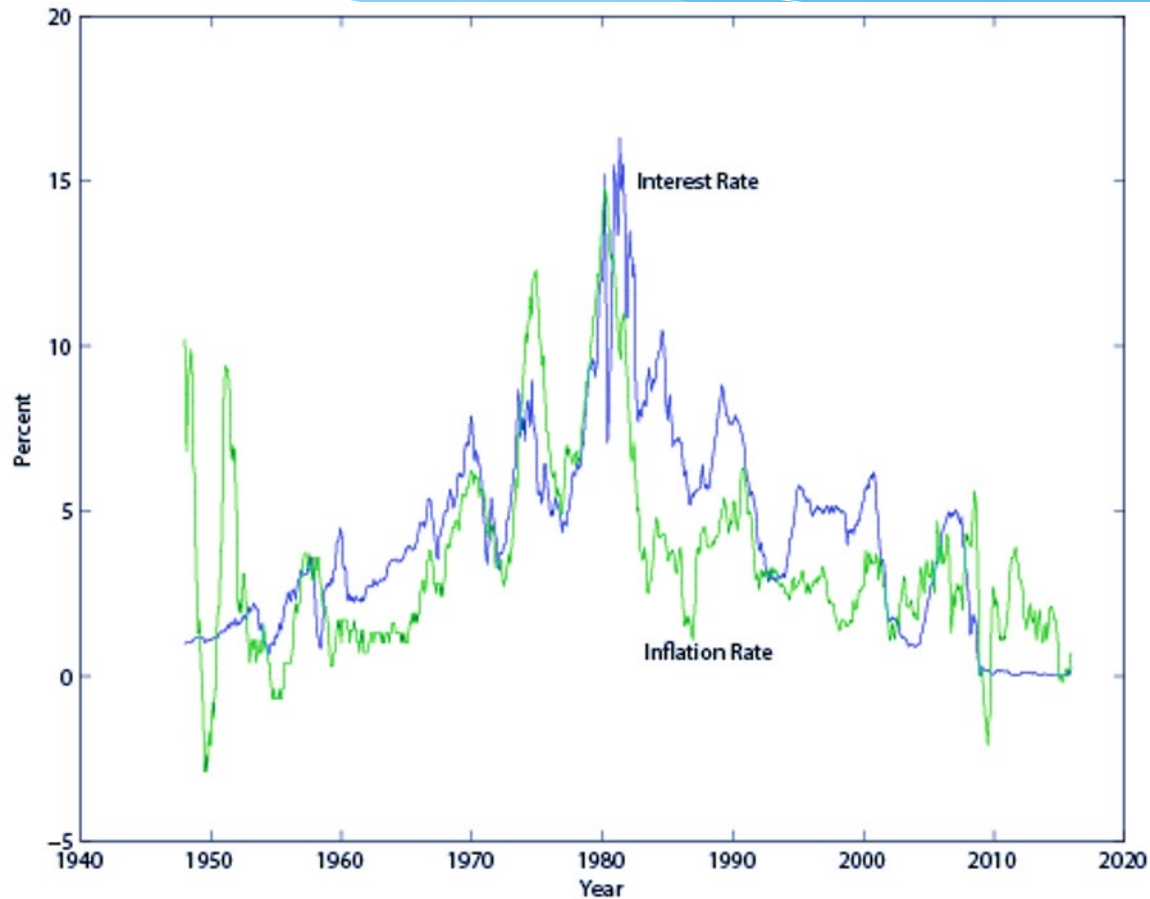


Figure 1.12

Real Interest Rate

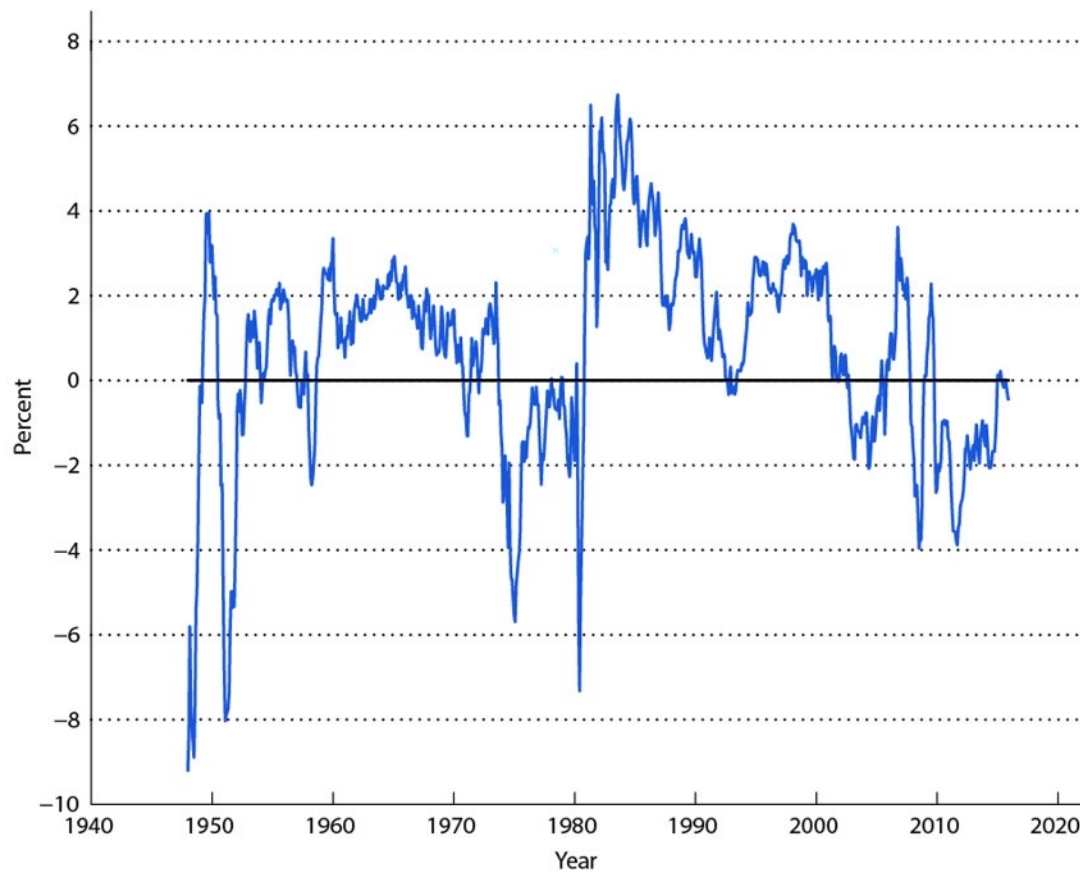


Figure 1.13

Percentage Deviation From Trend in Real GDP

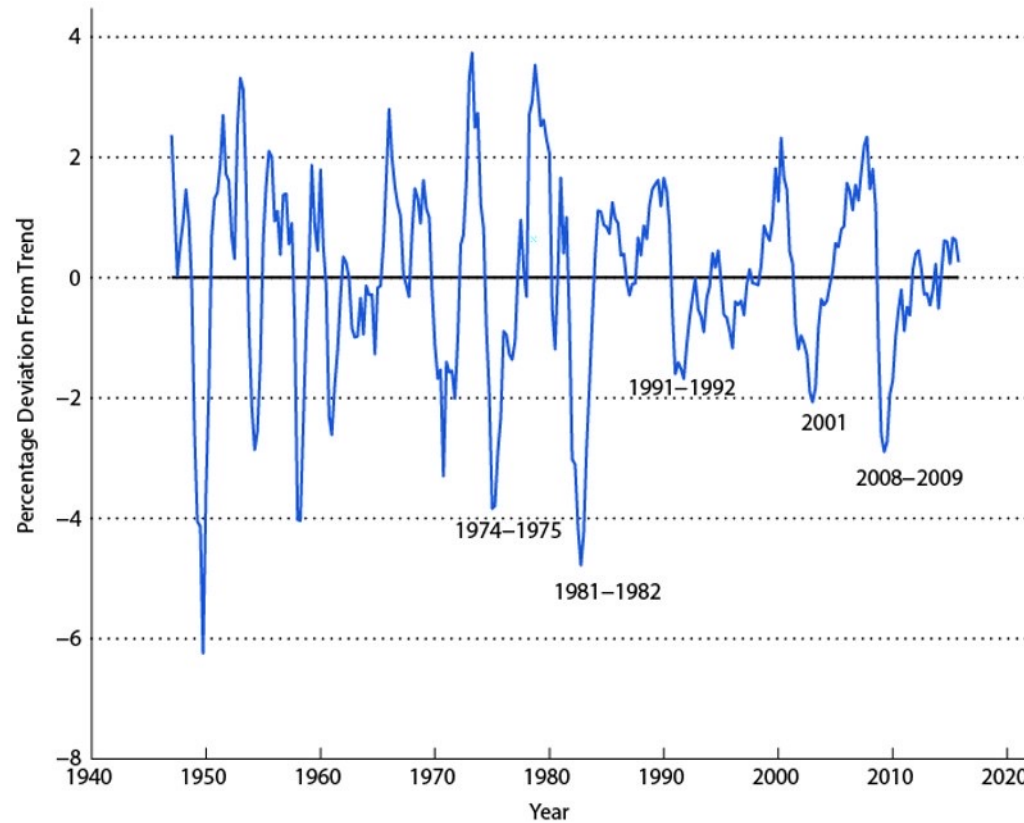


Figure 1.14

Interest Rate Spread

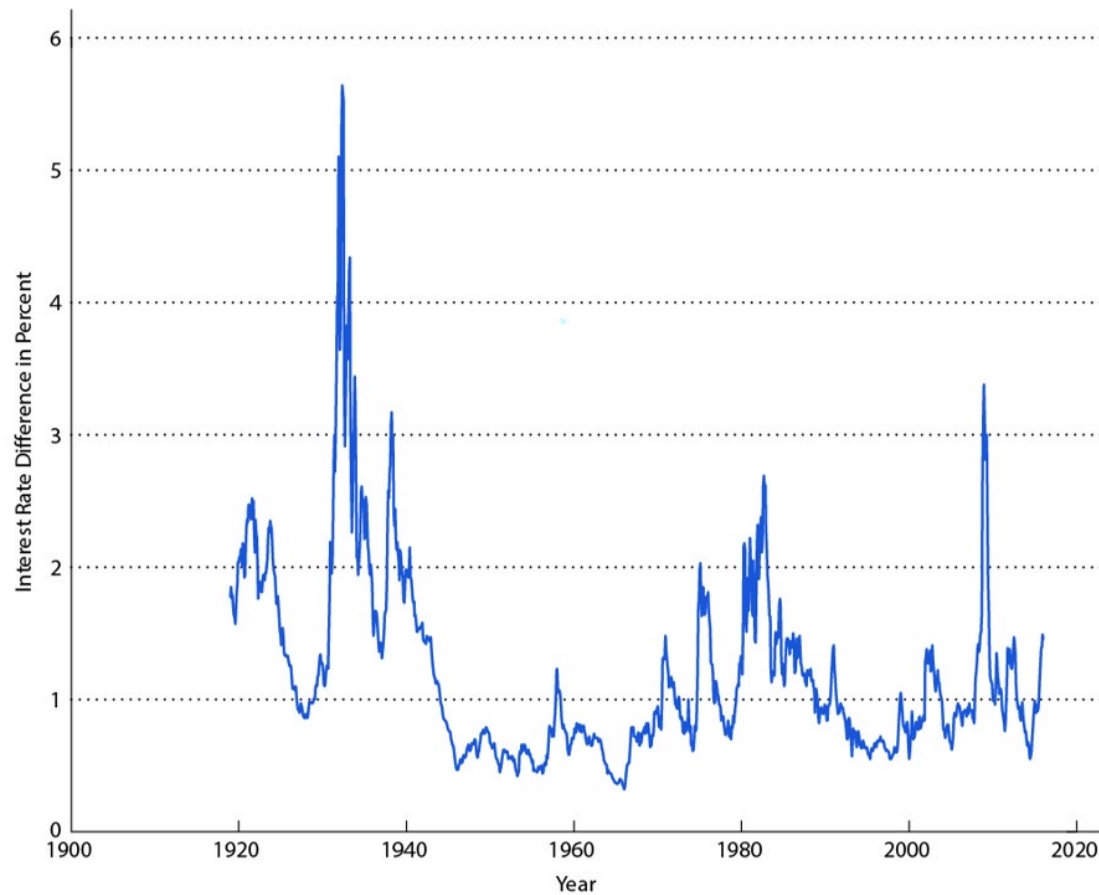


Figure 1.15

Relative Price of Housing

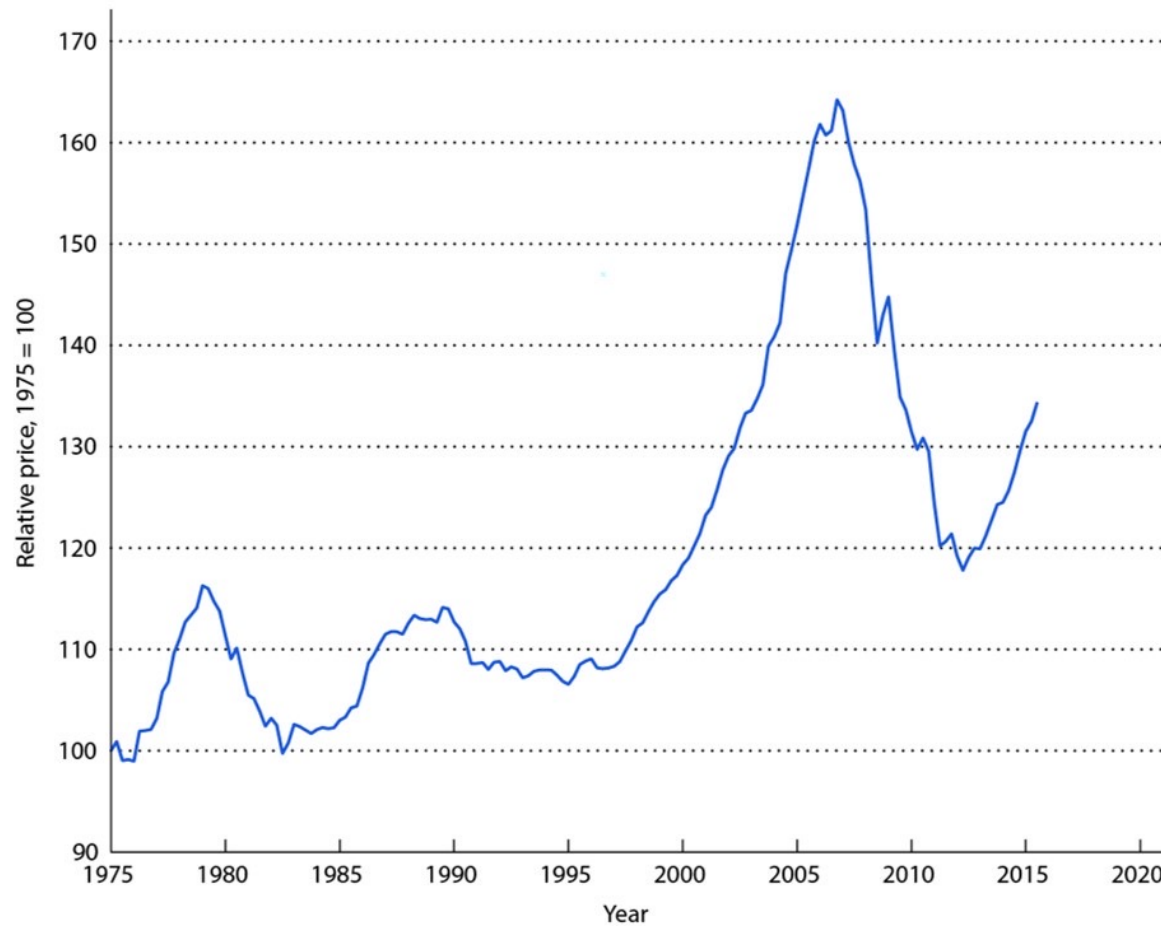


Figure 1.16

Exports and Imports of Goods and Services

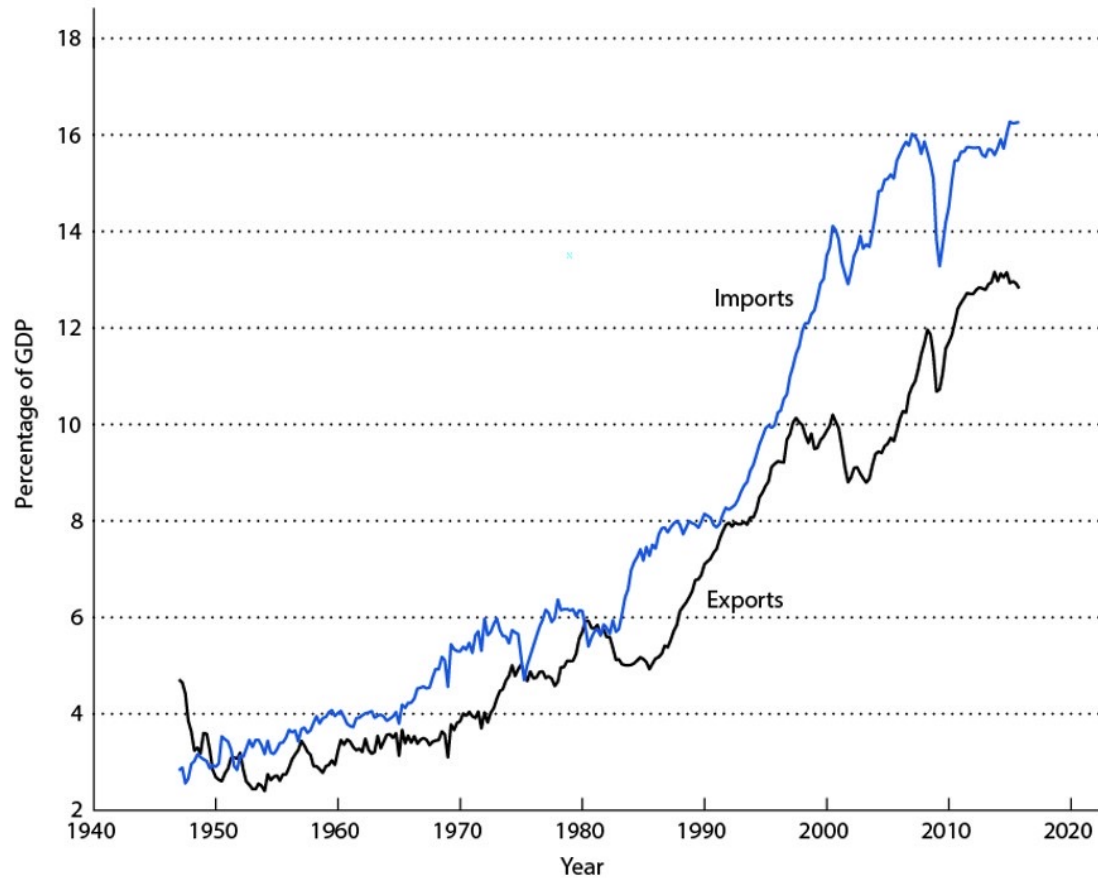


Figure 1.17

The Current Account Surplus

